6BUIS018W – Information Driven Entrepreneurship and Enterprise

Tutorial 3

This tutorial is based on Lecture 3. You can find Lecture 3 notes on Blackboard.

You need to work in groups of three to five. Please discuss the following questions within your group and write down the agreed answers. You should clarify any questions and discuss your answers with your tutor.

The task:

You are planning to open a new on-line music (downloads, CD, Vinyl, etc.) shop. You are fully aware of the strong competition and therefore aim to target a market niche instead of competing with the largest players directly. Analyse your competitive position on the market and prepare a strategic plan according to the following:

1. **Investigate your competitors. Visit and compare other on-line music shops (structure, services, order processing, payment methods, shipping, advantages, disadvantages etc.). You may use the following table for the comparison. Please do not spend more than 15 minutes on this task.**

We investigated three major online music streaming and download platforms to understand the competitive landscape before defining our niche strategy.

Criterion	Amazon Music (music.amazon.co.uk)	Apple Music (music.apple.com)	Spotify (spotify.com)
Target Segment	Existing Amazon/Prime customers; mainstream music listeners across all ages	Apple ecosystem users (iPhone, Mac); premium music enthusiasts willing to pay	Broad mass market; students, young adults, free-tier casual listeners
Services Offered	Streaming, unlimited downloads (Prime Music / Unlimited), podcast, Alexa integration, HD & Ultra HD audio	On-demand streaming, offline downloads, lossless/Spatial Audio, radio stations, lyrics, Apple One bundle	On-demand streaming, podcasts, audiobooks, offline mode (Premium), social features, personalized playlists (Discover Weekly)
Placing an Order	Subscribe via Amazon account; bundled with Prime; one-click sign-up	Subscribe via Apple ID; integrated with iOS/macOS; family and student plans	Free tier available; Premium subscription via website or app; free trial offered
Payment Methods	• Credit/debit • Amazon Pay • gift cards • Prime subscription included	• Credit/debit • Apple Pay • iTunes gift cards • Apple One bundle	• Credit/debit • PayPal • gift cards • Google/Apple Pay in app
Shipping / Access	Instant digital access via app, web, Echo devices, Fire TV	Instant digital access via Apple devices, web browser, Windows app	Instant digital access via app, web, smart TVs, games consoles

Criterion	Amazon Music (music.amazon.co.uk)	Apple Music (music.apple.com)	Spotify (spotify.com)
Strengths	Ecosystem integration with Prime & Alexa; HD audio; bundled value; massive catalogue (90M+ songs)	Best-in-class audio quality (lossless, Spatial Audio); tight Apple ecosystem; clean UI; exclusive content	Largest user base (600M+); best discovery algorithms; free tier; social playlists; podcast & audiobook integration
Weaknesses	• Requires Amazon account • UI less intuitive • weaker social/discovery features • limited free tier	• Apple ecosystem lock-in • no free tier • less strong on podcasts • higher price point	• Audio quality lower than rivals (no lossless on free) • aggressive ads on free tier • artist payout criticism
Opportunities	Expand physical CD sales to complement streaming; target audiophiles with HD tier; grow smart home music market	Grow Spatial Audio and lossless market; expand beyond Apple ecosystem; deepen artist exclusives	Add lossless audio tier; expand audiobook market; grow in emerging markets; deepen creator monetisation tools
Threats	Spotify and Apple Music dominate streaming; physical music declining; users resent forced Prime bundling	Android/non-Apple users choosing Spotify; Apple antitrust scrutiny; streaming market saturation	Rising licensing costs; competition from YouTube Music; potential regulation; artist backlash over royalties

2. Based on your comparison, define how you can gain competitive advantage over your competitors and outline a viable business idea.

Our Business Idea: 'Music Meter' – The Curated Independent Music Shop

Based on the competitor analysis, the clear gap in the market is a destination for independent and alternative music fans who want personalised service, expert curation, and a community-oriented experience that large retailers cannot replicate.

Music Meter will focus on:

- Music records and limited-edition CDs from independent labels
- hand-curated collections by genre and era
- personalised recommendations powered by a 'music taste profile'
- exclusive pre-orders and artist bundle deals
- fast, eco-friendly UK and European shipping.

How We Gain Competitive Advantage

- **Specialization:** Focus solely on independent, alternative, jazz, folk, and world music, genres underserved by Amazon
- **Curation & Expertise:** Every product listing includes editorial notes written by music journalists
- **Community:** User reviews, 'record of the month' club, curated playlists, and artist interviews
- **Personalization:** A taste quiz generates a personalized homepage and email recommendations

- **Ethics:** Fair trade sourcing, carbon-neutral packaging, and transparent artist royalty information

3. Analyse your competitive position using Porter's 5 forces model. Identify threats and define strategies how you can overcome these threats.

Force	Assessment	Threat Level	Strategy to Overcome
Threat of New Entrants	Low start-up costs for an online shop make entry easy; however, building a specialist brand and supplier relationships takes time.	Medium	Invest early in brand identity, supplier exclusives, and community creating switching costs for customers.
Bargaining Power of Suppliers	Independent labels have some power but are often eager for retail exposure. Major distributors (e.g. Alliance/Proper) have more leverage.	Medium	Diversify supplier base; develop direct relationships with small labels; negotiate exclusive or early-release deals.
Bargaining Power of Buyers	Customers can easily compare prices online. Music Meter enthusiasts will pay a premium for curation and expertise.	Medium–Low	Differentiate on curation, community, and experience rather than price alone. Introduce loyalty rewards.
Threat of Substitutes	Spotify, Apple Music, and YouTube offer free/cheap music. Physical sales are niche but growing (+20% vinyl growth year-on-year).	High	Emphasise the tangible, collectible, and audio-quality aspects of vinyl that streaming cannot replace.
Competitive Rivalry	Amazon, Discogs, Juno, Rough Trade all compete but none combines our exact niche with personalised service.	Medium	Occupy a distinctive niche; compete on service, expertise, and community rather than price.

4. Carry out PESTEL analysis. Analyse your macro environment considering political, economic, social, technological, environmental and legal aspects.

Factor	Analysis	Implication for Music Meter
Political	Post-Brexit trade regulations affect importing EU vinyl; UK government supports creative industries. Potential tariffs on US imports.	Source stock primarily from UK and EU distributors; monitor trade policy changes; consider EU warehouse for European customers.
Economic	Cost-of-living pressures reduce discretionary spending; however, vinyl buyers are typically enthusiasts who	Target committed enthusiast segment; offer a loyalty/subscription tier; hedge

Factor	Analysis	Implication for Music Meter
	prioritise their hobby. Weak pound raises import costs.	currency risk with sterling-priced stock deals.
Social	Vinyl revival driven by millennials and Gen Z seeking authentic experiences. Growing interest in sustainability. Importance of social media discovery.	Market as a 'sustainable, authentic' alternative to streaming. Strong social media and influencer strategy essential.
Technological	Mobile-first shopping, AI-powered recommendations, secure payment APIs, social commerce. Digital downloads still relevant alongside physical.	Build a mobile-optimised site with AI recommendation engine; integrate Apple Pay/Google Pay; offer digital downloads as add-on.
Environmental	Vinyl production has a carbon footprint; eco-conscious consumers demand sustainable packaging. Carbon-neutral delivery options growing.	Use recycled/cardboard packaging; partner with carbon-offset delivery; communicate environmental commitments clearly.
Legal	GDPR compliance for customer data; consumer rights (14-day returns); music copyright and licensing laws for any streaming features; Companies House registration.	Appoint a data protection lead; ensure full GDPR-compliant privacy policy; legal advice on any streaming/embedded audio features.

5. Carry out a SWOT analysis: identify your Strengths, Weaknesses, Opportunities and Threats. Formulate your basic strategies with the help of a SWOT matrix.

SWOT Matrix

	Helpful (Internal)	Harmful (Internal)
Internal	STRENGTHS • Specialist niche expertise • Curated, editorial-quality content • Community-driven engagement • Ethical/sustainable brand positioning • Personalised recommendation engine	WEAKNESSES • Small initial catalogue vs. Amazon • Limited brand awareness at launch • Higher unit costs than mass-market • Dependency on third-party fulfilment • Limited marketing budget

	Helpful (External)	Harmful (External)
External	OPPORTUNITIES • Vinyl market growing ~20% YoY • Underserved independent music fans • Social commerce / TikTok music trends • Subscription box model potential • EU market expansion post-launch	THREATS • Amazon could enter the niche • Streaming growth reducing physical sales • Supply chain disruption / vinyl shortage • Economic downturn reducing spend • Established specialist rivals (Juno, Rough Trade)

SWOT-Based Strategies

Strategy Type	Strategy
SO (Strengths + Opportunities)	Leverage editorial curation and growing vinyl market to launch a 'record of the month' subscription club, driving recurring revenue and community engagement.
WO (Weaknesses + Opportunities)	Use social commerce trends (TikTok/Instagram) to build brand awareness at low cost, offsetting limited marketing budget while capitalising on viral music discovery.
ST (Strengths + Threats)	Deepen community loyalty through exclusive pre-releases and artist content that Amazon cannot replicate, reducing threat from large competitors entering the space.
WT (Weaknesses + Threats)	Establish direct supplier relationships early to mitigate supply chain risk and secure better pricing, reducing cost pressure from the vinyl shortage.

6. Carry out CSF analysis. State your business objectives, critical success factors and measures, and identify requirements towards your e-commerce system. Define the key features of your planned e-commerce solution in order to achieve your business objectives.

Business Objective	Critical Success Factor (CSF)	Measure / KPI	E-Commerce System Requirement
Achieve 500 orders/month within 6 months	Seamless, trustworthy checkout experience	Cart abandonment rate < 15%; conversion rate > 3%	Fast, mobile-optimised checkout; Apple/Google Pay; SSL; progress indicator
Build a loyal customer base with 40% repeat purchase rate	Personalised recommendations and loyalty programme	Repeat purchase rate; loyalty sign-up rate; open rate of recommendation emails	Taste-profile quiz; recommendation engine; email integration; loyalty points module
Establish editorial authority in independent music	High-quality curated content on all product pages	Time on site > 3 min; organic search traffic growth; content shares	CMS for editorial notes; blog/interview section; SEO-optimised product pages
Maintain 4.5★+ customer satisfaction	Fast, accurate fulfilment and responsive support	Net Promoter Score; review ratings; support response time < 24h	Real-time stock management; automated dispatch emails; helpdesk integration (e.g. Zendesk)
Grow average order value to £45+	Upselling and bundle recommendations at point of sale	Average order value; bundle attach rate	"Customers also bought" engine; bundle deal feature; gift-wrapping option

7. Find other strategic level analysis tools (in the lecture notes or beyond) that can be applied for your case study. Which one of these would be the most useful and appropriate to use? Carry out strategic analysis using your selected tool.

Why Value Chain Analysis?

While SWOT and PESTEL provide broad strategic context, Michael Porter's Value Chain Analysis is the most appropriate additional tool for Music-Meter. It examines every internal activity that creates value for the customer, helping us identify where to invest, automate, or differentiate. For an e-commerce business, understanding our value-creation activities is directly actionable.

Primary Activities

Activity	Current Plan	Value-Add Opportunity
Inbound Logistics	Receiving stock from UK/EU distributors and independent labels	Negotiate exclusive stock deals; automated stock alerts from suppliers
Operations	Photography, writing editorial copy, uploading to CMS, quality-checking records	Standardise product workflow; build internal editorial style guide
Outbound Logistics	Packing and dispatching orders via Royal Mail / DPD	Eco-packaging; branded unboxing experience; next-day upgrade option
Marketing & Sales	Social media, SEO blog, email newsletter, influencer partnerships	Content marketing flywheel; affiliate programme for music bloggers
Customer Service	Email/chat support, returns processing, community moderation	Self-service FAQ; proactive order tracking comms; community forum

Support Activities

Activity	Implication for Music Meter
Firm Infrastructure	Lean team; cloud-based accounting (Xero); legal compliance for GDPR and consumer rights
Human Resource Management	Hire music-passionate staff; editorial contributors as freelancers; flexible fulfilment team
Technology Development	Shopify-based platform initially; custom recommendation engine; mobile-first UX; analytics dashboard
Procurement	Direct label relationships; distributor accounts with Proper Music, Alliance; eco-packaging supplier